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**THE JAPAN BUSINESS ASSOCIATION IN VIETNAM**
No.: DN23/2016HHDNNB

**THE SOCIALIST REPUBLIC OF VIETNAM**
Independence – Freedom – Happiness
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*Re: Petition on Circular No. 20/2011/TT-BCT*

*Hanoi, July 29th 2016*

**Respectfully to: Your Excellency Prime Minister Nguyen Xuan Phuc**

C/C: Ministry of Industry and Trade (MOIT)
Ministry of Planning and Investment (MPI)
Ministry of Transportation (MOT)
Ministry of Science and Technology (MOST)
Ministry of Natural Resource and Environment (MONRE)
Ministry of Justice (MOJ)
Vietnam Chamber of Commerce and Industry (VCCI)
National Traffic Safety Committee (NTSC)
Vietnam Consumers Protection Association (VINASTAS)

On behalf of The Japan Business Association in Vietnam (JBAV), I would like to express our sincere gratitude to Your Excellency Prime Minister for your continuous and valuable support to the development JBAV in general and operation of our membership companies in particular.

We learn that MOIT's circular No. 20/2011/TT-BCT (circular 20) dated on 12th May, 2011 may become invalid from 1st July 2016. By this letter, we would like to express our deep concern on serious impact to consumer's rights as well as traffic safety and environment protection if Government does not have any relevant alternative measure taken in place as soon as possible.

1. **Role of circular 20:**

Since the issuance of circular 20, we believe that it plays well an important role in protection of consumers' rights and ensure traffic safety and environment protection as stated in the purpose of this circular. Automobile is a complicated, high technology product and automobile quality is highly related to traffic safety and environment protection, so that professional service and maintenance is required to ensure vehicles always are in good quality during their long service life.

2. **What authorized distributor do for official import vehicles?**

With support from OEM (Original Equipped Manufacturer), authorized distributor confirms vehicle's usage condition and prepares not only for sales, but also for after-sales service, so that they can provide periodic maintenance, repair service, warranty and recall for official import vehicles.

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Before introducing an imported vehicle to the market, authorized distributor conducts technical confirmation to ensure the vehicle is suitable to use in actual condition of Vietnam (road and weather condition, fuel quality, technical regulations). Also, authorized distributor conducts necessary preparation for after-sales service to be ready before official introduction of this imported vehicle to the market such as provide technician training, technical information and genuine spare parts to authorized dealers.

For after-sales service and maintenance, authorized dealers provide periodical maintenance, repair service, warranty, recall for this vehicle with necessary technical support from authorized distributor and OEM.

Especially for recall issue, authorized distributor has a database of official introduction vehicles and customer list from OEM and authorized dealers, so that authorized distributor can announce recall information (vehicle list, technical guideline) and provide repair instruction, improved parts or updated software to authorized dealers; then dealers can inform customers to ask them to bring vehicles back for repair.

3. **What will happen if unofficial import vehicles come to OEM authorized dealers for service?**

When unofficial import vehicles come to OEM authorized network for service, dealers will make the best effort to serve customers. However, even OEM authorized dealers are facing with difficulty when providing service for unofficial import vehicles.

If unofficial import customers come to OEM authorized network for service, due to no preparation in advance, even an OEM authorized dealer might not be able to provide service at the same level as they do for authorized import vehicles.

Sometimes, OEM authorized dealers may have to refuse offering service to unofficial import vehicles due to lack of technical training or genuine spare parts or service tools or technical information.

Of course, OEM authorized distributor is not able to provide OEM warranty to those unofficial import vehicles.

Moreover, when a recall happens OEM authorized distributor is not able to contact to unofficial import customers because they do not have any vehicle and customer information.

4. **What unofficial importers cannot do?**

Without any support from OEM, unofficial importers cannot provide after-sales service properly, so vehicle quality is not maintained appropriately during its long service life.

In case of a vehicle imported by an unofficial importer, normally this vehicle was designed to use in another market. So the vehicle might not be suitable with actual condition in Vietnam market.

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Also unofficial importers cannot provide after-sales service to this vehicle as same as OEM authorized distributor do for authorized import vehicles, due to no support from OEM for technician training, technical information and genuine parts.

And of course, unofficial importers are not able to provide OEM warranty and recall service.

**5. JBAV proposal:**

In conclusion, if the requirement of circular20 becomes invalid, many new unofficial importers who might have difficulty in providing service and maintenance, will appear in the market. We are afraid that who will take care of vehicle quality and customer service, who will take responsibility of recall instead of unofficial importers.

With above mentioned reasons, JBAV would like to propose Your Excellency Prime Minister to urgently issue a decree in order to keep the requirement of the circular 20 for protection of consumer's rights, traffic safety and environment.

JBAV would like to thank Your Excellency Prime Minister very much in advance for your kind consideration and support in the due course.

Yours sincerely,

**The Japan Business Association in Vietnam**

**Chairman**

**Taiji Yanai**

***Recipients:***
*- As above;*
*- Embassy of Japan in Vietnam;*
*- The Japanese Association of Ho Chi Minh city;*
*- The Japan Business Association in Da Nang;*